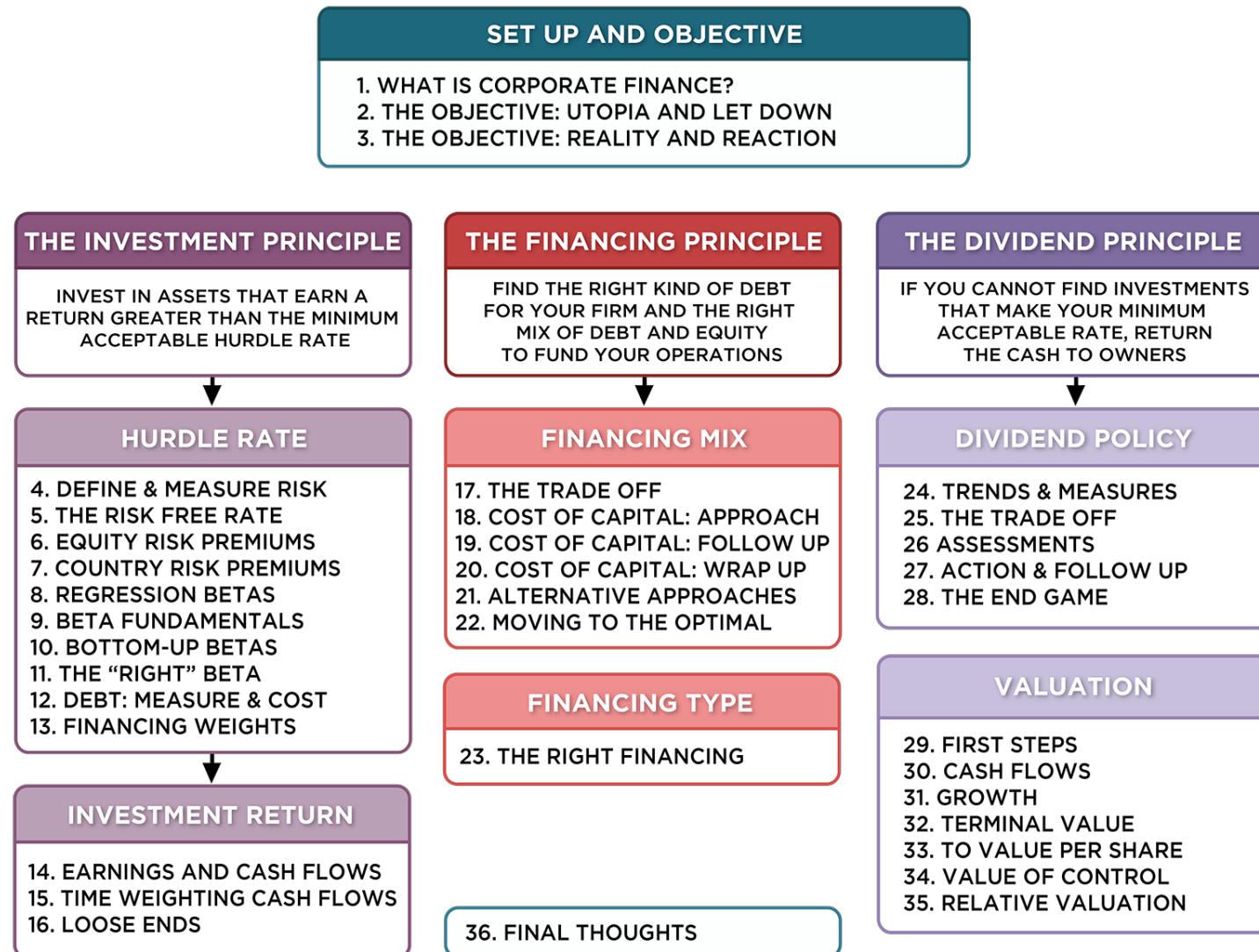


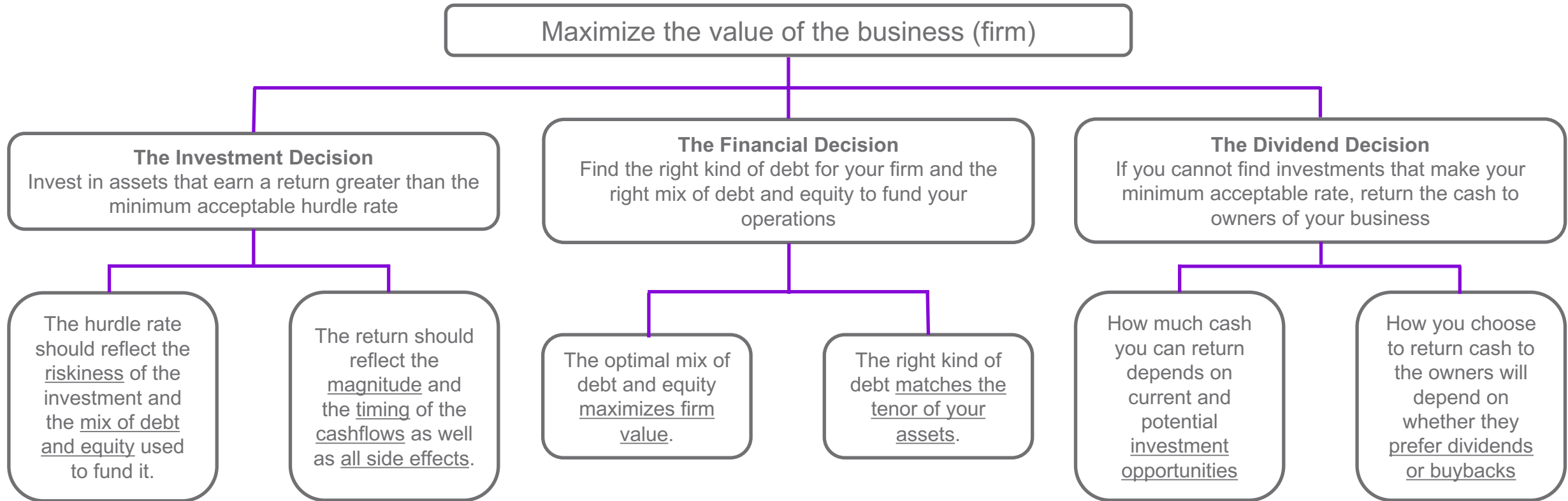
SESSION 02: THE OBJECTIVE: UTOPIA AND LET DOWN

If you don't know where you are going, it does not matter how you get there!

SESSION 02: THE OBJECTIVE: UTOPIA AND LET DOWN

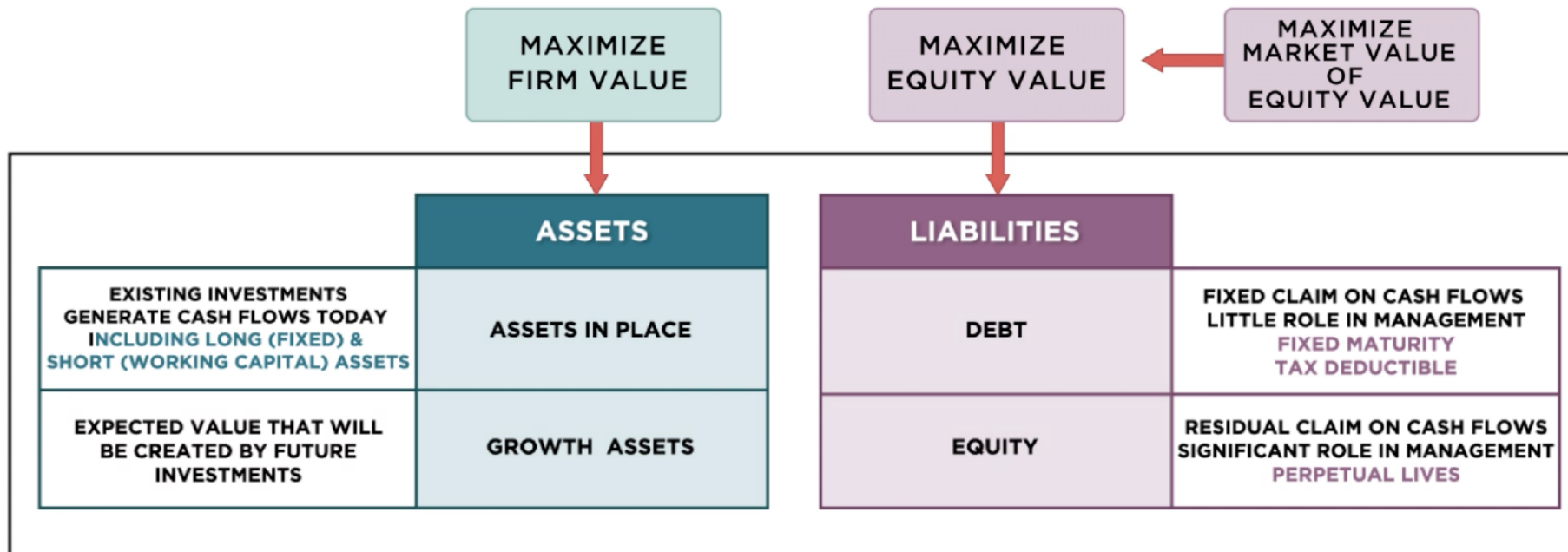


FIRST PRINCIPLES

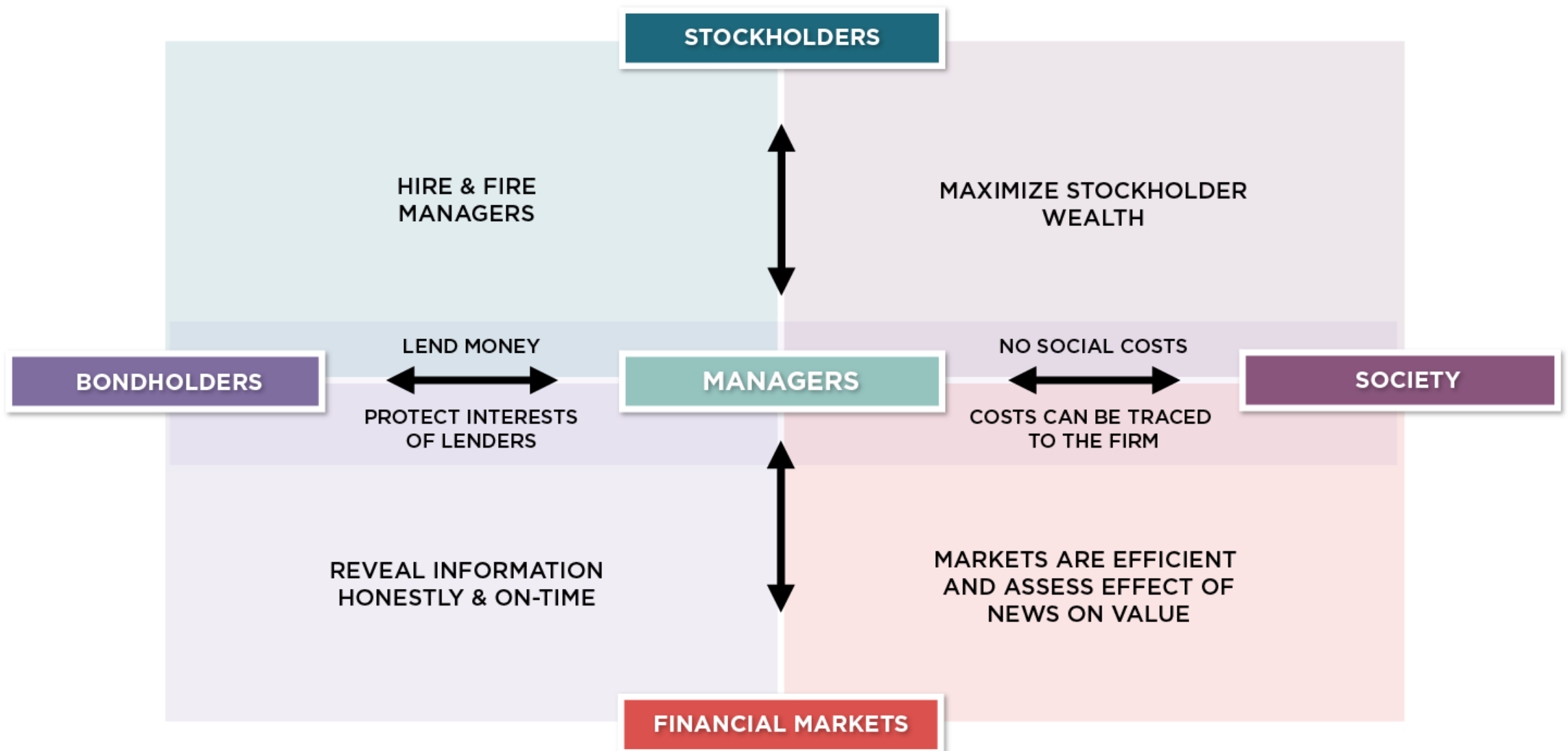


THE OBJECTIVE IN DECISION MAKING

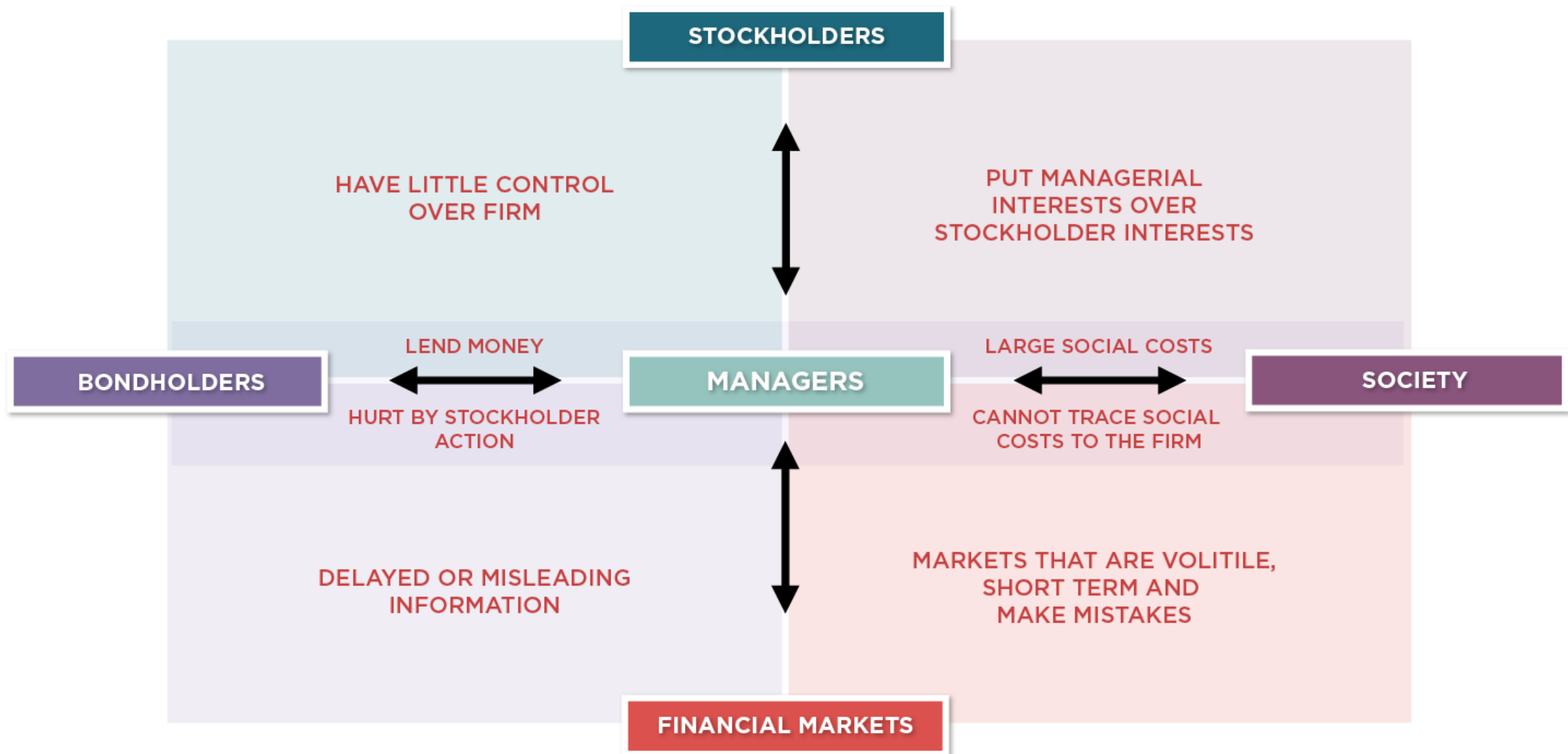
- In traditional corporate finance, the objective in decision making is to maximize the value of the firm.
- A narrower objective is to maximize stockholder wealth. When the stock is traded and markets are viewed to be efficient, the objective is to maximize the stock.



THE CLASSICAL OBJECTIVE



WHAT CAN GO WRONG?



WHO'S ON BOARD? THE DISNEY EXPERIENCE (1997)



1997 - WHO'S ON BOARD?

BOARD OF DIRECTORS

Reveta F. Bowers^{1,2,4,5}
Head of School
Center for Early Education

*Roy E. Disney*³
Vice Chairman
The Walt Disney Company

*Michael D. Eisner*³
Chairman and Chief Executive Officer
The Walt Disney Company

Stanley P. Gold^{2,4,5}
President and Chief Executive Officer
Shamrock Holdings, Inc.

Sanford M. Litvack
Senior Executive Vice President and Chief of
Corporate Operations
The Walt Disney Company

Ignacio E. Lozano, Jr.^{1,2,4}
Chairman
Lozano Communications

George J. Mitchell^{1,5}
Special Counsel
Verner, Liipfert, Bernard, McPherson and Hand

Thomas S. Murphy^{2,3}
Former Chairman
Capital Cities/ABC, Inc.

Richard A. Nunis
Chairman
Walt Disney Attractions

*Leo J. O'Donovan, S.J.*¹
President
Georgetown University

Sidney Poitier^{2,4}
Chief Executive Officer
Verdon-Cedric Productions, Ltd.

*Irwin E. Russell*²
Attorney at Law

Robert A.M. Stern
Senior Partner
Robert A.M. Stern Architects

*E. Cardon Walker*¹
Former Chairman and Chief Executive Officer
The Walt Disney Company

Raymond L. Watson^{1,2,3}
Vice Chairman
The Irvine Company

*Gary L. Wilson*⁵
Chairman
Northwest Airlines Corporation

¹Member of Nominating Committee

⁴Member of Executive Performance Subcommittee of the Compensation Committee

¹Member of Audit Review Committee

²Member of Compensation Committee

³Member of Executive Committee

SO, WHAT NEXT? WHEN THE CAT IS IDLE, THE MICE WILL PLAY . . .

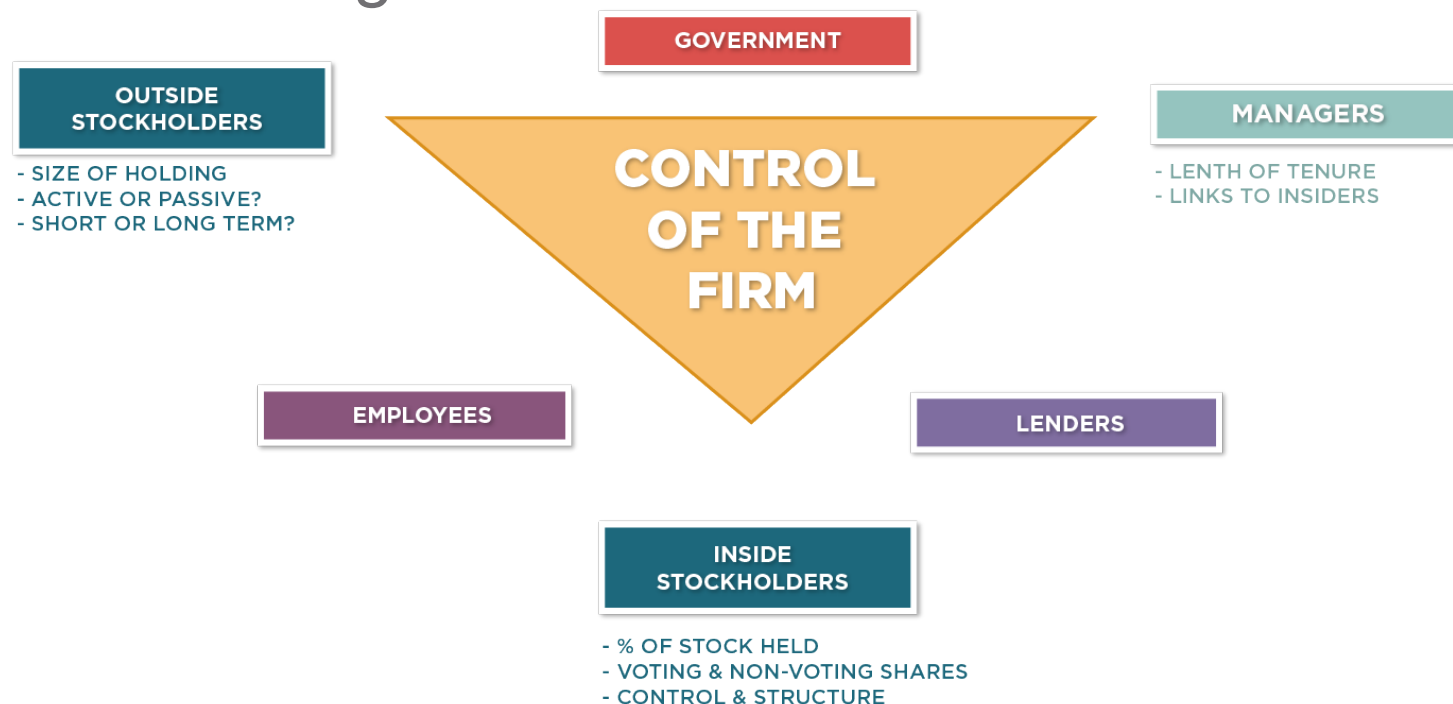
No stockholder approval needs . . . Stockholder approval needed

- When managers do not fear stockholders, they will often put their interests over stockholder interests
 - Greenmail: The (managers of) target of a hostile takeover buy out the potential acquirer's existing stake, at a price much greater than the price paid by the raider, in return for the signing of a 'standstill' agreement.
 - Golden Parachutes: Provisions in employment contracts, that allows for the payment of a lump-sum or cash flows over a period, if managers covered by these contracts lose their jobs in a takeover.
 - Poison Pills: A security, the rights or cashflows on which are triggered by an outside event, generally a hostile takeover, is called a poison pill.
 - Shark Repellents: Anti-takeover amendments are also aimed at dissuading hostile takeovers, but differ on one very important count. They require the assent of stockholders to be instituted.
 - Overpaying on takeovers: Acquisitions often are driven by management interests rather than stockholder interests.



APPLICATION TEST: WHO OWNS/RUNS YOUR FIRM?

- Look at: Bloomberg printout HDS for your firm
- Who are the top stockholders in your firm?
- What are the potential conflicts of interest that you see emerging from this stockholding structure?



CASE 1: SPLINTERING OF STOCKHOLDERS

DISNEY'S TOP STOCKHOLDERS IN 2003



2003 - DISNEY'S TOP STOCKHOLDERS

<HELP> for explanation. dgp Equity HDS
Enter #<GD> to select aggregate portfolio and see detailed information

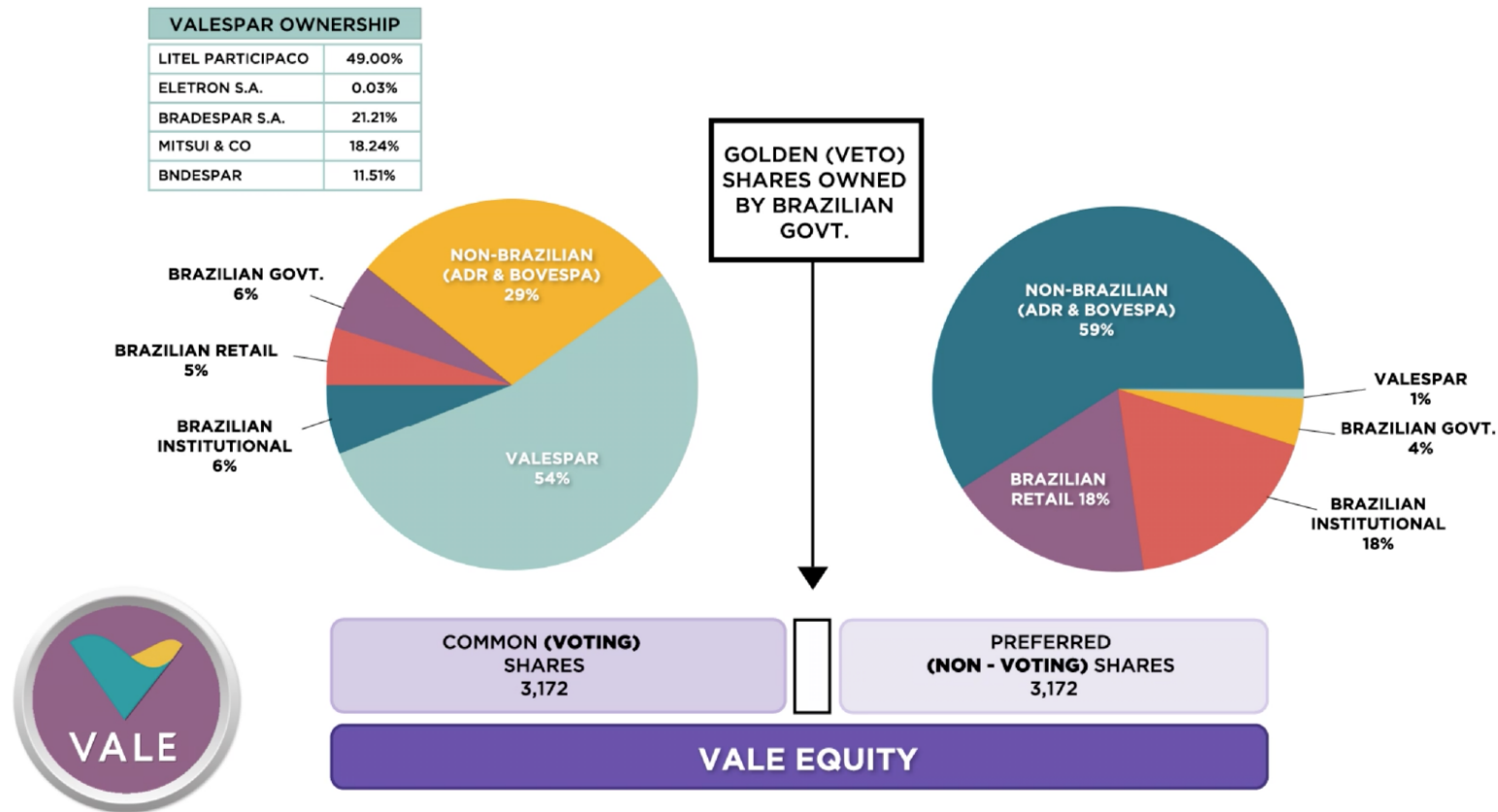
001189650224-000 **HOLDINGS SEARCH** CUSIP 25468710
DIS US DISNEY (WALT) CO Page 1 / 100

Holder name	Portfolio Name	Source	Held	Outstd	Change	Latest Filing Date
1BARCLAYS GLOBAL	BARCLAYS BANK PLC	13F	83,630M	4.095	1,750M	09/02
2CITIGROUP INC	CITIGROUP INCORPORAT	13F	62,857M	3.078	4,811M	09/02
3FIDELITY MANAGEM	FIDELITY MANAGEMENT	13F	56,125M	2.748	5,992M	09/02
4STATE STREET	STATE STREET CORPORA	13F	54,635M	2.675	2,239M	09/02
5SOUTHEASTERN ASST	SOUTHEASTERN ASSET M	13F	47,333M	2.318	14,604M	09/02
6ST FARM MU AUTO	STATE FARM MUTUAL AU	13F	41,938M	2.054	120,599	09/02
7VANGUARD GROUP	VANGUARD GROUP INC	13F	34,721M	1.700	-83,839	09/02
8MELLON BANK N A	MELLON BANK CORP	13F	32,693M	1.601	957,489	09/02
9PUTNAM INVEST	PUTNAM INVESTMENT MA	13F	28,153M	1.379	-11,468M	09/02
10LORD ABBETT & CO	LORD ABBETT & CO	13F	24,541M	1.202	5,385M	09/02
11MONTAG CALDWELL	MONTAG & CALDWELL IN	13F	24,466M	1.198	-11,373M	09/02
12DEUTSCHE BANK AG	DEUTSCHE BANK AG	13F	23,239M	1.138	-5,002M	09/02
13MORGAN STANLEY	MORGAN STANLEY	13F	19,655M	0.962	3,482M	09/02
14PRICE T ROWE	T ROWE PRICE ASSOCIA	13F	19,133M	0.937	2,925M	09/02
15ROY EDWARD DISNE	n/a	PROXY	17,547M	0.859	-126,710	12/01
16AXA FINANCIAL	ALLIANCE CAPITAL MAN	13F	14,283M	0.699	69,353	09/02
17JP MORGAN CHASE	JP MORGAN CHASE & CO	13F	14,209M	0.696	-462,791	09/02
Sub-totals for current page:			599,159M	29.340		

* Money market directory info available. Select portfolio, then hit IP<GD>.
Australia 61 2 8777 8600 Brazil 5511 2048 4500 Europe 44 20 7330 7500 Germany 49 69 90810
Hong Kong 852 2577 6000 Japan 81 3 3251 0000 Singapore 65 212 3900 U.S. 1 212 318 2000 Copyright 2002 Bloomberg L.P.
H002-375-0 20-Dec-02 13:41:58

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PROFESSIONAL

CASE 2: VOTING VERSUS NON-VOTING SHARES & GOLDEN SHARES VALE



Vale has eleven members on its board of directors, ten of whom were nominated by Valepar and the board was chaired by Don Conrado, the CEO of Valepar.

CASE 3: CROSS AND PYRAMID HOLDINGS

TATA MOTOR'S TOP STOCKHOLDERS IN 2013



TOP STOCKHOLDERS IN 2013

TTMT IN Equity 25) Settings 99) Feedback Holdings: Current
Tata Motors Ltd ISIN INE155A01022

1) Current 2) Historical 3) Matrix 4) Ownership 5) Transactions 6) Options
Search Name -- 21) Save 22) Delete 23) Saved Searches 24) Refine Search
Text Search Holder Group All Holders 20 Export

Holder Name	Portfolio Name	Source	Opt	Amt Held	% Out	Latest Chg	File Dt
1. TATA SONS LTD	n/a	Co File	All	702,333,345	26.07	0	09/30/13
2. CITIBANK NA	n/a	20F		446,246,135	16.56	0	06/30/12
3. LIFE INSURANCE CORP OF I	n/a	Co File		168,754,477	6.26	-119,728,333	09/30/13
4. TATA STEEL LTD	n/a	Co File		147,810,695	5.49	0	09/30/13
5. CAPITAL GROUP COMPANIES	n/a	ULT-AGG		97,689,911	3.63	-877,871	09/30/13
6. TATA INDUSTRIES LTD	n/a	Co File		68,436,485	2.54	0	09/30/13
7. VANGUARD GROUP INC	n/a	ULT-AGG		41,285,983	1.53	4,535,434	09/30/13
8. PRUDENTIAL PLC	n/a	ULT-AGG		34,080,063	1.26	147,814	09/30/13
9. GIC PRIVATE LIMITED	n/a	ULT-AGG		30,428,428	1.13	0	09/30/13
10. WILLIAM BLAIR & COMPANY	WILLIAM BLAIR & COMP	13F		30,093,943	1.12	3,997,149	06/30/13
11. JPMORGAN CHASE & CO	n/a	ULT-AGG		24,918,852	0.92	-2,157,750	08/31/13
12. SCHRODER INVESTMENT MGMT	Multiple Portfolios	MF-AGG		19,136,665	0.71	2,578,904	06/30/13
13. BLACKROCK	n/a	ULT-AGG		14,100,725	0.52	-265,173	10/31/13
14. NORGES BANK	Multiple Portfolios	MF-AGG		10,762,579	0.40	0	12/31/12
15. T ROWE PRICE ASSOCIATES	Multiple Portfolios	MF-AGG		10,056,366	0.37	324,353	09/30/13
16. TATA INVESTMENT COPP LTD	n/a	Co File		10,025,000	0.37	0	09/30/13
17. SBI LIFE INSURANCE CO LTD	Multiple Portfolios	MF-AGG		9,256,170	0.34	-151,323	09/30/13
18. ALLIANZ ASSET MANAGEMENT	n/a	ULT-AGG		8,129,923	0.30	2,071,551	09/30/13

% Out 76.19 Zoom 100%

Australia 61 2 9777 8600 Brazil 5511 3048 4500 Europe 44 20 7330 7500 Germany 49 69 9204 1210 Hong Kong 852 2977 6000
Japan 81 3 3201 8900 Singapore 65 6212 1000 U.S. 1 212 318 2000 Copyright 2013 Bloomberg Finance L.P.
SN 636136 EST GMT-5:00 G627-2830-0 04-Nov-2013 12:31:34

CASE 4: LEGAL RIGHTS AND CORPORATE STRUCTURES

BAIDU

- The Board: The company has six directors, one of whom is Robin Li, who is the founder/CEO of Baidu. Mr. Li also owns a majority stake of Class B shares, which have ten times the voting rights of Class A shares, granting him effective control of the company.
- The structure: Baidu is a Chinese company, but it is incorporated in the Cayman Islands, its primary stock listing is on the NASDAQ and the listed company is structured as a shell company, to get around Chinese government restrictions of foreign investors holding shares in Chinese corporations.
- The legal system: Baidu's operating counterpart in China is structured as a Variable Interest Entity (VIE), and it is unclear how much legal power the shareholders in the shell company have to enforce changes at the VIE.

THINGS CHANGE . . . DISNEY'S TOP STOCKHOLDERS IN 2009

Walt Disney Co/The CUSIP 25468710

21) Sources 22) Types 23) Countries 24) Metro Areas 25) Advanced Filters

Name Filter Sort By Mkt Val

	Holder Name	Portfolio Name	Source	Mkt Val	% Out	Mkt Val Chg	File Dt
1)	JOBS STEVEN PAUL	n/a	Form 4	3.34BLN	7.46	0	5/5/06
2)	FIDELITY MANAGEMENT &	FIDELITY MANAGEMEN	13F	2.05BLN	4.58	-36.12MLN	9/30/08
3)	STATE STREET CORP	STATE STREET CORPO	13F	1.7BLN	3.79	-18.6MLN	9/30/08
4)	BARCLAYS GLOBAL INVES	BARCLAYS GLOBAL IN	13F	1.66BLN	3.70	-160.12MLN	9/30/08
5)	VANGUARD GROUP INC	VANGUARD GROUP IN	13F	1.38BLN	3.08	-6.82MLN	9/30/08
6)	SOUTHEASTERN ASSET M	SOUTHEASTERN ASSE	13F	1.12BLN	2.50	-14.03MLN	9/30/08
7)	STATE FARM MUTUAL AU	STATE FARM MUTUAL	13F	1.02BLN	2.28	0	9/30/08
8)	WELLINGTON MANAGEMEN	WELLINGTON MANAGE	13F	939.38MLN	2.09	110.6MLN	9/30/08
9)	CLEARBRIDGE ADVISORS	CLEARBRIDGE ADVISO	13F	815.91MLN	1.82	-47.04MLN	9/30/08
10)	JP MORGAN CHASE & CO	JP MORGAN CHASE &	13F	693.31MLN	1.55	-18.89MLN	9/30/08
11)	MASSACHUSETTS FINANCI	MASSACHUSETTS FINA	13F	682.16MLN	1.52	112.29MLN	9/30/08
12)	BANK OF NEW YORK MELL	BANK OF NEW YORK	13F	681.68MLN	1.52	-57.13MLN	9/30/08
13)	NORTHERN TRUST CORP	NORTHERN TRUST CO	13F	610.26MLN	1.36	-4.81MLN	9/30/08
14)	AXA	AXA	13F	486.28MLN	1.08	47.05MLN	9/30/08
15)	BLACKROCK INVESTMENT	BLACKROCK INVESTME	13F	476.12MLN	1.06	-47.11MLN	9/30/08
16)	JENNISON ASSOCIATES L	JENNISON ASSOCIATE	13F	428.85MLN	0.96	-102.77MLN	9/30/08
17)	T ROWE PRICE ASSOCIAT	T ROWE PRICE ASSOC	13F	351.61MLN	0.78	-9.94MLN	9/30/08

Task

Assess corporate governance at your company

FOURTH EDITION

Applied Corporate Finance

ASWATH DAMODARAN



WILEY

**Optional: Read
Chapter 2**